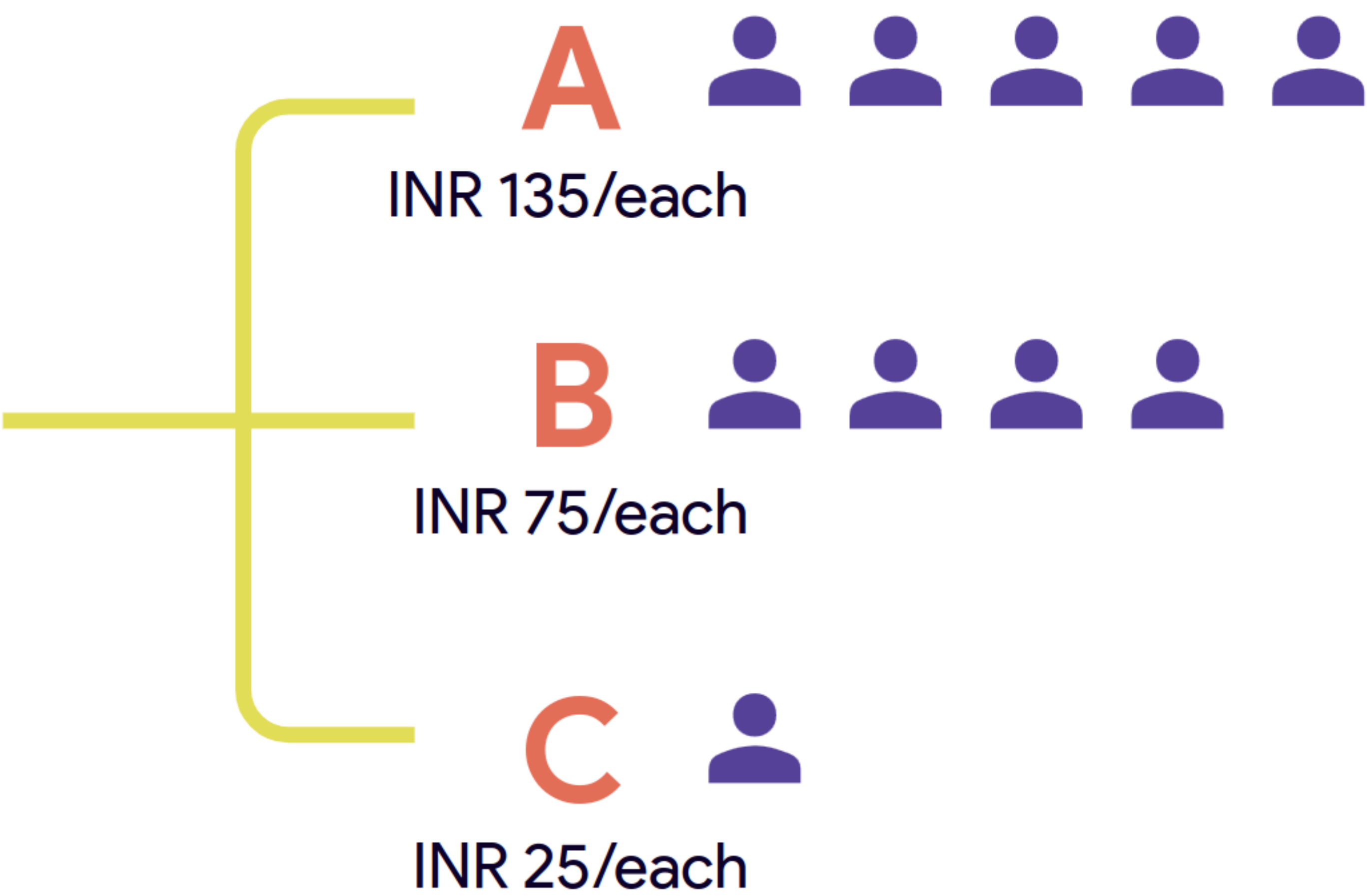


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b. Flexible Model

Keep the distribution of performance ratings and increments for each rating flexible. For example, you let managers rate employees. Suppose there are, 5 people rated A, 4 people rated B and 1 person rated C. Then you can assign increment amounts later to meet the budget.



Performance Rating	Population (A)	Increment in INR (B)	Total Spend in INR (A x B)
	5		675
	4		300
	1		25
TOTAL			1,000

3. Conduct Appraisals

Based on the criteria, the guidelines are crafted and provided to the managers. The typical guidelines communicate to managers to review the performance of their team members and give a performance rating. If you are following a fixed model then you will have to ask managers to force fit employees.

